

Josh Strat v2.0

Asset-Family-Aware Multi-Asset Momentum | Strategy Tear Sheet

VERSION SUMMARY v2.0 keeps the original strategy's monthly rebalance, one-day lag, 42-day ERC weighting, core asset universe and 3x research convention. The upgrade is the selection engine: multi-horizon momentum ranks are combined with asset-family-specific trend gates and concentration limits.

What changed from the original Josh Strat

Component	Original Josh Strat	Josh Strat v2.0
Momentum signal	120-day cumulative return	Average cross-sectional rank across 63 / 126 / 189 days
Number of holdings	Up to 3	Up to 5
Basic eligibility	Momentum above cross-sectional average	Average multi-horizon rank above cross-sectional average
Equities: SPY / VGK / EEM	No family-specific rule	At least 2 of 63 / 126 / 252-day returns > 0; max 2 equity regions
Treasuries: IEF / TLT	No family-specific rule	Both 126- and 252-day returns > 0; max 1 Treasury duration
Gold: GLD	No family-specific rule	Both 126- and 252-day returns > 0
U.S. REITs: ICF	Same generic momentum rule as everything else	No extra gate beyond the universal multi-horizon rank
Portfolio weighting	42-day ERC	42-day ERC - unchanged
Rebalance / lag	Monthly / 1 trading day	Monthly / 1 trading day - unchanged
Research leverage	3x	3x - unchanged

v2.0 decision flow

Month-end	63/126/189 rank ensemble	Above-average rank	Family gates + caps	42-day ERC	Trade next day + hold monthly
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Why make the change?

- Reduce dependence on one arbitrary momentum horizon. The 63/126/189 rank ensemble was more stable across nearby parameter choices than the original single 120-day signal.
- Recognize that related assets are not independent bets. v2.0 prevents the portfolio from loading simultaneously into all three equity regions or both Treasury durations simply because each ranks well.
- Require absolute trend confirmation where it proved useful. Equity, Treasury and gold sleeves must pass family-specific trend tests; an extra REIT gate was tested and rejected because it hurt validation results.

Historical research snapshot

Gross 3x backtest, common history beginning March 3, 1997. These are historical research results, not expected future returns. The simple 3x return convention does not fully model leveraged-ETF financing, tracking error, taxes or slippage.

Period	CAGR		Sharpe		Max drawdown	
	Original	v2.0	Original	v2.0	Original	v2.0
Full common history	31.9%	38.1%	0.95	1.18	-48.4%	-38.2%
1997-2014 discovery	36.0%	43.5%	1.00	1.27	-48.4%	-38.2%
2015-2020 validation	18.2%	26.2%	0.70	1.01	-44.0%	-35.8%
2021-Sep 2026 holdout	34.4%	35.0%	1.03	1.08	-34.0%	-33.4%

What the backtest says - and what it does not

- The strongest improvement was in the 2015-2020 validation period: higher CAGR, higher Sharpe and a smaller drawdown than the original strategy.
- The 2021-2026 holdout was much less dramatic, which is healthy. v2.0 produced a modest return and Sharpe improvement with a similar drawdown rather than magically dominating every period.
- The research suggests the upgrade is coming from better selection and family-level portfolio structure, not from changing the ERC allocator or trading more frequently.

What is deliberately NOT in v2.0

Later research explored ERC horizon ensembles, covariance-aware tie-breaking, volatility brakes and macro overlays. Those remain separate research modules for now. **Josh Strat v2.0 is intentionally the cleaner asset-family-aware upgrade only.**

One-sentence description

Josh Strat v2.0 is a monthly multi-asset momentum strategy that combines 3-, 6- and 9-month cross-sectional momentum ranks with asset-family-specific absolute-momentum gates and concentration limits, then sizes the selected assets using 42-day equal risk contribution.